

# You Don't Have to Be in Defence to Be Caught by It

Third edition in the Defence, Security and Resilience series. Prior editions: [Hard Power](#), [Soft Frontiers](#) (13 May 2026) and [Defence Meets Industrial Reality](#) (29 June 2026). The four dated commitments set in June are graded in the Continuity Ledger.

27 August 2026 · Audience: Boards, procurement, risk and policy leaders in any sector exposed to the security build-out · Horizon: 6 to 18 months primary, 2 to 5 years secondary

Read estimate: 4 min Executive Synthesis · 15 min full read

## What you will learn

1. Why a Chinese export rule due back on 10 November can catch a product that has never been near a defence contract, and how to work out in an afternoon whether yours is exposed.
2. How the European rearmament programme has stopped competing for budget and started competing for the components, minerals and skilled people that civil manufacturers also need.
3. Where the assumption that defence work sits outside civilian regulation is now wrong, and what the EU has actually written down about products that do both jobs.

## Key takeaways

1. China's suspended export controls return on 10 November 2026, restoring a rule that catches any foreign-made item where Chinese-origin controlled inputs reach 0.1% of its value. It is a value test, not a defence test, and a year of diversification has barely moved the dependence: the United States still imports 71% of its rare earth consumption from China after \$7.3bn of federal financing.
2. European rearmament is now firm and dated rather than aspirational: £298bn in the UK to 2029/30, a French budget rising to €76.3bn by 2030 with statutory priority for military orders over civil ones, and a Rheinmetall order backlog of €80.5bn against half-year sales of €5.2bn.
3. The EU AI Act's defence exemption is narrower than most suppliers assume. It attaches to purpose and to placing on the market, not to the company, so a product sold to both civilian buyers and a defence ministry needs full compliance.

## Why this matters now

Most organisations read defence news as somebody else's business. That reading is now out of date, and there is a date on it.

On 10 November a Chinese export rule comes back into force that catches a product if Chinese-origin controlled minerals make up as little as 0.1% of its value. It applies wherever the product is made and whoever makes it. Magnets sit in wind turbines, car motors, medical scanners, robots and hard drives, so the rule reaches a long way past missiles. At the same time Europe's rearmament has turned into firm orders that compete for the same components and the same skilled people, NATO aircraft have begun shooting drones down over European territory, and the EU has quietly confirmed that its AI rules do not exempt a product just because a defence ministry is one of its customers.

The one thing to take into the next meeting: you do not have to be in defence to be caught by it, and the cheapest thing you can do this quarter is find out whether you are.

## Executive Synthesis

Two cycles ago this briefing argued that defence had stopped being a sector. In June it argued that the binding constraint had dropped from money to factories. The August reading is that the constraint has dropped one layer further, to inputs and rules, and that this is the layer at which it stops being a defence story at all.

The evidence for the shift is unusually concrete. Europe's spending commitments have become costed, dated programmes: the United Kingdom published a Defence Investment Plan committing £298bn to 2029/30 ([UK Ministry of Defence](#), June 2026), France legislated an uplift taking its budget from €57.1bn in 2026 to €76.3bn in 2030 ([Ministère des Armées](#), April 2026), and the Bundestag's budget committee cleared sixteen further procurement projects worth over €9.5bn in a single sitting before the summer recess ([hartpunkt](#), July 2026), with roughly a hundred more expected in the second half of the year ([bundeswehr-journal](#), August 2026). That is the end of the argument about whether the money is real.

What it is not is the end of the argument about whether the output can follow. Rheinmetall's order backlog rose to €80.5bn against half-year sales of €5.2bn ([Rheinmetall](#), August 2026), which is a queue lengthening far faster than it clears. The Kiel Institute's reading is that limited capacity and long delivery times mean the money has produced modest stimulus rather than proportionate output ([Kiel Institute](#), March 2026). And France has now written the competition into statute ([Ministère des Armées](#), April 2026), creating strategic stockpiles and a legal mechanism to give military orders priority over civil ones. A state does not legislate priority unless it expects scarcity.

**Which of the products your organisation sells contains, anywhere in its bill of materials, a magnet or a coating whose rare earth content was processed in China?**

*If nobody can answer that by early October, the answer on 10 November will be supplied by a customs authority rather than by you.*

The 10 November expiry is the sharpest item in the set because it is dated, it is binary, and its reach is defined by value rather than by end use. The instrument catches any foreign-manufactured listed item where Chinese-origin controlled inputs account for 0.1% or more of the item's value ([MOFCOM](#), October 2025, Chinese). Nothing in that test asks what the product is for. A year into the original controls, diversification has moved slowly: the United States still imports 71% of its rare earth consumption from China ([CSIS](#), April 2026), and Japan, after the most determined national diversification programme anywhere, cut Chinese share of its imports from around 90% to under 60% and remains dependent at the processing and magnet stage ([Observer Research Foundation](#), July 2026). Fifteen years of effort bought time, not immunity.

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*A rule that measures 0.1% of value does not ask whether you are a defence company.*

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The second shift is physical and visible. Air defence over Europe has moved from monitoring incursions to destroying them, and not once. A Romanian F-16 flying Baltic Air Policing shot down a drone over Estonia on 19 May ([ERR](#), May 2026, Estonian) and Latvia destroyed one over Rugāji on 14 August ([LSM.lv](#), August 2026, Latvian), while Romania logged 23 airspace violations by 17 August against 18 across the whole of 2022 to 2025, shooting down four across the year ([ABC News](#), August 2026). The Latvian case is the instructive one: the aircraft destroyed was Ukrainian, entering from

Belarus, most probably displaced by Russian electromagnetic warfare. The proximate cause was navigation denial, not an attack. For an operator of aircraft, ships, ports or offshore assets, that distinction decides how an insurer characterises the peril, and Finland's regulator now records GNSS interference around the clock across southern and central Finland ([Traficom](#), April 2026, Finnish).

The third shift is legal and almost entirely unremarked. The EU AI Act reached full application on 2 August. Its defence carve-out attaches to purpose and to placing on the market, *regardless of the type of entity* ([European Commission, AI Act Service Desk](#), Regulation text), and the Regulation's own recital states that a system placed on the market for an excluded purpose and one or more non-excluded purposes falls within scope ([Recital 24](#)). The Commission's post-application guidance did not resolve the dual-use question either way ([European Commission](#), August 2026), and German counsel are already advising that a supplier offering an AI system on the civilian market and also to the Bundeswehr needs full compliance ([LUTZ ABEL](#), March 2026, German). There is an asymmetry that runs the other way, and it should be stated plainly rather than smoothed over: a system placed on the market for civilian purposes and later used for military ones is not caught. Civilian first, then military, is out. Both at once is in.

**Stress test: what would have to be true for this reading to be wrong?**

- **China extends the suspension again.** This is a real possibility rather than a hedge, and the market appears to expect it: heavy rare earth prices were falling in early August rather than pricing the deadline, with dysprosium down 11.6% and terbium down 7.19% ([Rare Earth Mining](#), August 2026, directional). If Beijing extends, theme one becomes a 2027 problem and the urgency in this briefing is misplaced. Note that the cost of preparing is low and the cost of being wrong is high, which is why the recommendation survives the uncertainty even though the forecast may not.
- **European industrial capacity expands faster than the backlog.** Rheinmetall is opening a plant in Lithuania and expanding pipe and powder production, and the UK plans at least six new energetics factories by 2030. If that build-out lands early, the competition for components and people eases and the civil read-across weakens.
- **The Latvia shoot-down proves atypical.** If interceptions fall away through the autumn and the Ukrainian-drone attribution turns out to characterise most incidents, the escalation reading softens into an accident story with a much narrower commercial tail.

**What this briefing does not claim**

It does not claim that most companies are exposed to the 0.1% rule. Nobody has counted, and that absence is itself the finding: no survey exists of how many non-defence firms have screened their bills of materials against the threshold. The claim here is narrower and defensible, that exposure is determined by a value test rather than by sector, and that firms outside defence have had no reason to check.

**Continuity ledger: resolving the prior cycle's dated commitments**

The June 2026 edition set four dated obligations. Each is graded here against evidence gathered after that cycle closed.

| Obligation                                                                         | Verdict | What changed                                                                                                                                                    |
|------------------------------------------------------------------------------------|---------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Convert the 1.5% security-related band exposure map into a capacity-aware delivery | OPEN    | Five weeks from this cycle and still live. This month's evidence sharpens rather than answers it: Rheinmetall's backlog reached €80.5bn against €5.2bn of half- |

plan, by **30 September 2026**

year sales, and the Kiel Institute finds capacity, not funding, is what limits output.

Position the supply-chain offer for the SAFE second wave and EDIP calls, by **30 September 2026**

**OVERTAKEN**

The window opened earlier than the June commitment assumed. The EDIP work programme was approved on 30 March 2026 with calls opening the following day, and more than €700m of it targets counter-drone systems, missiles and ammunition. Positioning is now a live bid, not a preparation.

Integrate cyber, physical-layer and information-operations defensive posture under one named accountable owner, by **31 December 2026**

**WIDENED**

The scope has grown since June. Navigation denial is now a continuous condition across northern Europe rather than an incident class, and it is displacing aircraft into airspace where they are destroyed. Positioning integrity belongs inside this owner's remit.

Build a defence-tech capital-to-capability allocation thesis with explicit conversion-stage triggers, at the next investment committee

**REVISED**

June's premise was that capital was trapped without exits. That is now contradicted: H1 2026 exit value reached roughly \$72bn excluding SpaceX, exceeding every prior full year. The thesis still holds, but the trigger should test concentration and programme-of-record conversion rather than exit availability.

## Audience Snapshots

*Four lenses on the same evidence base, one per function. Each card carries the single question this cycle puts to that function.*

**BOARD AND PROCUREMENT LEAD IN ANY EXPOSED SECTOR**

**Can we say, before 10 November, which of our products would need a Chinese export licence?**

**The shift:** A control designed around defence and advanced technology is enforced through a 0.1% value threshold, which reaches ordinary industrial and consumer goods.

**The question to brief:** Which supplier in our chain would we have to ask to find out, and have we ever asked them anything of this kind before?

**CISO AND CRITICAL-INFRASTRUCTURE OPERATOR**

**Is navigation denial in our risk register as an operating condition rather than an incident?**

**The shift:** GNSS interference is now continuous across parts of northern Europe, and it is displacing uncrewed aircraft into airspace where they are being shot down.

**The question to brief:** If our aircraft, vessels or field assets lost satellite positioning for a working week, what degrades first, and who would tell us it was deliberate?

**GOVERNMENT AND POLICY READER**

**Where do our own rules assume that defence and civil supply chains are separable?**

**The shift:** France has legislated priority for military orders over civil ones, and the EU has confirmed that its AI rules follow the product rather than the customer.

**The question to brief:** Which of our industrial and regulatory instruments would need rewriting if defence demand were treated as a standing claim on civil capacity?

**INVESTOR AND CAPITAL ALLOCATOR**

**Are we underwriting a sector or a handful of companies inside it?**

**The shift:** Defence-tech funding is at record levels and so are exits, but both are heavily concentrated, and conversion into contracted programmes of record is visible only at the very top of the market.

**The question to brief:** For each defence holding, can we name the contracted programme of record, or are we holding a prototype and a ceiling figure?

# Themes

Six themes, ranked by how soon they force a decision. Three are Immediate, meaning they bear on choices being made this quarter. Citations link to the source at the point of use. Where a source is not in English, the claim is given in English and the citation names the language.

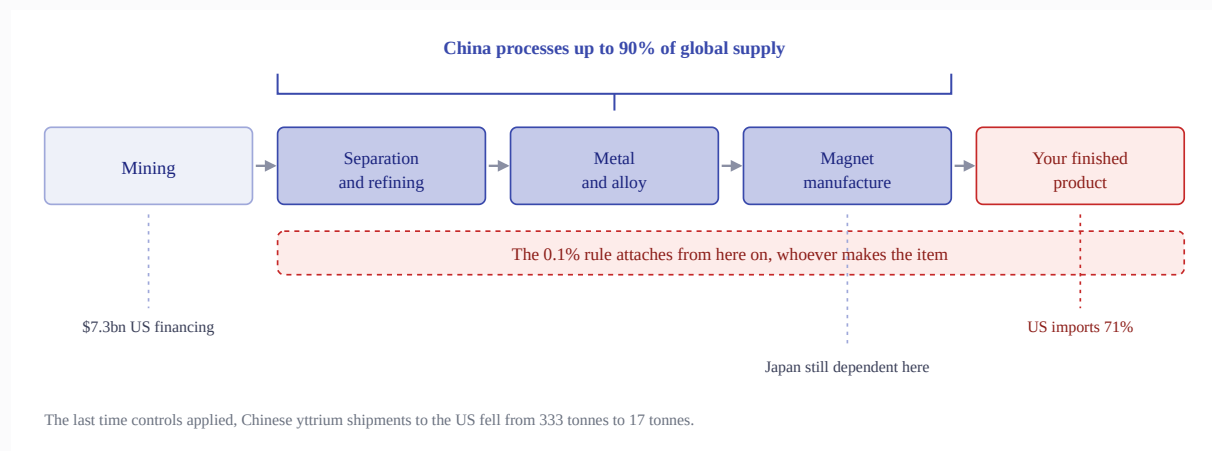
## 1. A Chinese export rule returns on 10 November and reaches far beyond defence

IMMEDIATE

China suspended its expanded rare earth export controls for twelve months in November 2025. The suspension lapses on 10 November 2026. What returns is not a defence control in any ordinary sense: it is a value test that catches foreign-made goods containing Chinese-processed material, wherever they are made and whoever makes them. The reason this belongs at the top of a briefing read mostly by people outside defence is that the threshold is low, the materials are ubiquitous in motors, magnets, coatings and optics, and almost nobody outside the primes has checked.

- The operative text sets the threshold by value, not by end use. It catches foreign-manufactured listed items that contain, incorporate or are mixed with Chinese-origin controlled inputs, where those inputs reach 0.1% or more of the finished item's value, and requires a licence regardless of where the exporter sits ([MOFCOM](#), October 2025, Chinese).
- Enforcement has moved from announcement to practice, and the exposure is not confined to named targets: [The extraterritorial reach of its jurisdiction to anyone dealing in China-origin rare earth material means the compliance exposure is not limited to targeted companies.](#) ([Morgan Lewis](#), July 2026).
- Three outcomes remain live for November. [Three potential policy outcomes are identified ahead of the November deadline: an extension of the suspension, selective reinstatement of controls targeting specific elements or end uses, and full reimposition of the October 2025 measures.](#) ([Mining Technology](#), April 2026), against a position where China still processes up to 90% of global rare earths.
- A year of American diversification has moved the dependence very little, with the United States still importing 71% of its rare earth consumption from China after \$7.3bn of federal financing committed across agencies ([CSIS](#), April 2026).
- The most determined national effort anywhere bought time rather than exit. [China's share of Japan's rare earth imports declined from approximately 90 percent to less than 60 percent by 2020.](#), yet Japan remains dependent at the processing and magnet stage ([Observer Research Foundation](#), July 2026).
- Europe is in the same position by its own analysts' account: [The EU relies heavily on China for processed cobalt and for extracted and processed graphite, lithium and rare earth elements.](#) ([Bruegel](#), July 2026).

**Figure 1: The rare earth supply chain, showing where China's control sits and where the new rule applies**



Stage shares are not published stage by stage, so the diagram places each verified figure at the stage its source describes rather than implying a share for every box. Sources: Mining Technology (April 2026) for global processing; CSIS (April 2026) for the US import share, the \$7.3bn financing and the yttrium collapse from 333 tonnes in the eight months to March 2025 to 17 tonnes between April and December 2025; Observer Research Foundation (July 2026) for Japan; MOFCOM (October 2025) for the 0.1% threshold.

### Weak signals to watch

- EMERGING** One element moved against the basket. While heavy rare earth prices fell in early August, Gallium led the declines at -18.8%, while erbium was the standout gainer at +17.6%, the only element to post a double-digit rise. (Rare Earth Mining, August 2026, Tier 4, carried directionally). A single element rising against a falling basket is consistent with targeted stockpiling ahead of a specific control, and inconsistent with general indifference to the deadline. It is thin evidence and could be ordinary volatility, which is why it sits here rather than in the signals above.
- WATCH** Whether any trade body or standards organisation publishes a bill-of-materials screening method for the 0.1% threshold. None exists today, and its appearance would be the first sign that non-defence industry has recognised the exposure collectively rather than firm by firm.

### Counter-argument

The market is not behaving as though reimposition is coming. In early August, three months out, heavy rare earth prices were falling rather than firming, with dysprosium down 11.6% and terbium down 7.19%. Either traders expect the suspension to be extended, which is one of the three outcomes explicitly on the table, or reimposition is already priced into contracts invisible to spot quotes. The honest reading is that the probability is genuinely uncertain and the asymmetry is not: screening a bill of materials costs very little, and discovering the answer at a border costs a great deal.

[Draws on Strategic Implication SI 1.](#)

## 2. Europe's defence plans have turned into firm, dated orders

IMMEDIATE

In June this briefing argued that money had stopped being the constraint and factories had become it. Two months later the plans behind that money are signed, costed and dated across three of Europe's four largest defence spenders. The significance for a reader outside the sector is not the totals. It is that a decade of guaranteed demand has been placed on an industrial base that also supplies civil manufacturing, and that at least one government has now written into law which of the two gets served first.

- The United Kingdom committed £298bn to 2029/30, including £11.1bn for munitions and weapons and over £5bn for drones and autonomy, with a stated intention that [By 2030, we will have built at least six new energetics factories and increased our national munitions production capacity.](#) (UK Ministry of Defence, June 2026).
- France legislated the uplift rather than announcing it, lifting the defence budget from €57.1bn in 2026 to €76.3bn in 2030, an increase of €36bn that includes €8.5bn more for munitions, and creating strategic stockpiles with a legal mechanism to give military orders priority over civil ones ([Ministère des Armées](#), April 2026, French).
- Germany is clearing procurement through parliament at industrial tempo. In its last sitting before the summer recess the Bundestag budget committee approved a further 16 major procurement projects worth over €9.5bn, including four frigates at €6.3bn ([hartpunkt](#), July 2026, German), with roughly 100 further major projects expected in the second half of the year ([bundeswehr-journal](#), August 2026, German).
- The legal machinery was rebuilt first. The Bundeswehr procurement acceleration act strips out tendering steps and bureaucracy on the ministry's stated reasoning that the threat situation permits no delay ([BMVg](#), January 2026, German).

- At EU level, [The European Commission approved today a €1.5 billion work programme under the European Defence Industry Programme \(EDIP\)](#), with more than €700m directed at production of counter-drone systems, missiles and ammunition ([European Commission, DG DEFIS](#), March 2026).
- The absorption problem is visible in the order book rather than the budget: [As at 30 June 2026, Rheinmetall Backlog increased significantly to €80.5 billion \(previous year: €56.0 billion\).](#), against half-year sales of €5.2bn ([Rheinmetall](#), August 2026, company reporting, treated directionally).
- Fragmentation compounds it. Europe fields 14 main battle tank models against America's one, and [Limited capacities, high unit costs, and long delivery times also mean that the mobilization of large financial resources for defence has generated only modest economic stimulus, since this too depends critically on additional investments to expand production.](#) ([Kiel Institute](#), March 2026).

### Counter-argument

Capacity is being built, not merely promised. Rheinmetall has opened a plant in Lithuania and expanded pipe production in the United Kingdom and powder production at Nitrochemie; the UK plans at least six new energetics factories by 2030. Against that, McKinsey's reading of the same period is that [Order backlogs are expanding, a substantial share of equipment continues to be sourced outside Europe](#) ([McKinsey](#), February 2026, carried outside the six-month window). Backlog growth and capacity growth are both real; the question is which compounds faster, and on current numbers it is the backlog.

[Draws on Strategic Implications SI 2 and SI 3.](#)

## 3. NATO has started shooting down drones over Europe

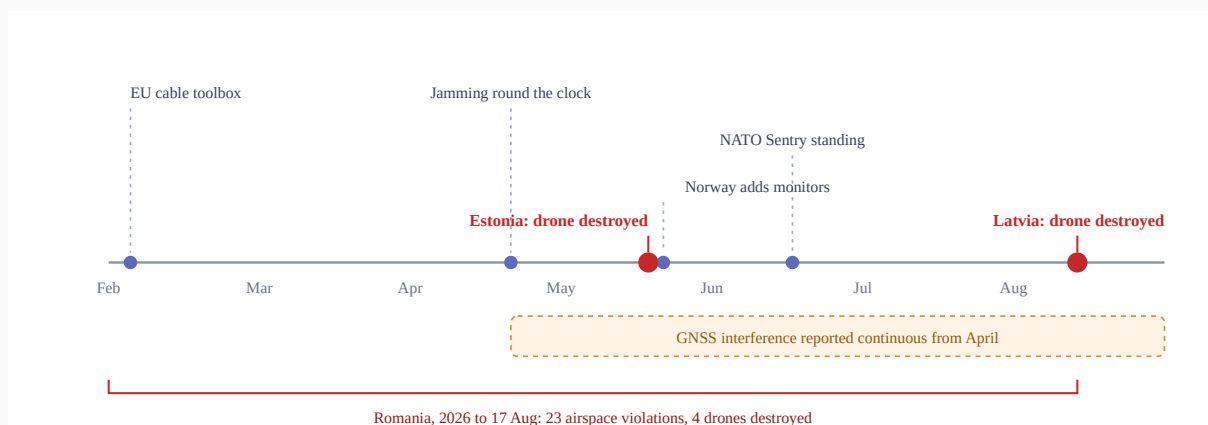
IMMEDIATE

The June cycle described grey-zone activity as the default operating environment. Since then the threshold has moved from tolerating incursions to destroying them, in at least three NATO states, and the tempo is rising rather than falling. The commercial consequence is not the shoot-downs themselves. It is that the navigation environment across northern Europe has degraded to the point where uncrewed aircraft are being pushed off course into defended airspace, which turns a background nuisance into an operating condition for anyone flying, sailing or running infrastructure in the region.

- The Latvian case shows what is actually happening. On 20 August Latvia's National Armed Forces confirmed that the drone destroyed over Rugāji on 14 August was a Ukrainian unmanned aircraft that had entered Latvian airspace from Belarusian territory, most probably under the influence of Russian electromagnetic warfare ([LSM.lv](#), August 2026, Latvian).

- It was not the first. On 19 May a Romanian F-16 flying Baltic Air Policing destroyed a drone over Põltsamaa in Estonia at 12:14, with wreckage falling about 30 metres from the nearest house ([ERR](#), May 2026, Estonian).
- Volume is the clearest signal. Romania logged 23 airspace violations by 17 August 2026 against 18 across the whole of 2022 to 2025, with 27 drone or fragment discoveries and four drones shot down ([ABC News](#), August 2026).
- Navigation denial is now continuous rather than episodic. Finland's regulator reports GNSS interference around the clock across southern and central Finland at cruise altitudes, with mobile-network interference near the eastern border now also appearing in daytime ([Traficom](#), April 2026, Finnish), and Norway is adding monitoring stations after jamming was recorded as low as 500 metres over a region with 11 airports ([The Barents Observer](#), May 2026).
- The standing missions have become permanent architecture. [Since January 2025, Baltic Sentry has enhanced the security of critical undersea infrastructure by deploying a range of assets, including frigates, maritime patrol aircraft and a fleet of naval drones.](#), with Eastern Sentry running since September 2025 and Forward Land Forces Finland standing up in June 2026 as the Alliance's ninth multinational battlegroup ([NATO](#), June 2026).
- Undersea infrastructure has its own instrument: the Commission published the Cable Security Toolbox with €347m of CEF Digital funding, noting that [Submarine cables connecting Europe have suffered multiple incidents in recent years, which have raised awareness regarding the criticality and vulnerability of submarine cables carrying data or electricity.](#) ([European Commission, DG CONNECT](#), February 2026, a policy instrument carried outside the window).
- The economics do not favour the defender. [If an F-16 fires an AIM-9X Sidewinder missile against a Shahed drone, it applies a \\$400,000 solution to a \\$35,000 problem.](#), against \$40bn pledged over five years for layered counter-drone defence that will take years to field ([The Kyiv Independent](#), August 2026).

**Figure 2: Drone shoot-downs and continuous jamming over Europe, February to August 2026**



Romanian totals are annual counts to 17 August rather than dated events, so they are shown as a span rather than as points on the line. Sources: European Commission DG CONNECT (February 2026); Traficom (April 2026); ERR (May 2026); The Barents Observer (May 2026); NATO (June 2026); LSM.lv (August 2026); ABC News (August 2026).

### Weak signals to watch

- **EMERGING** Displacement, not attack, as the dominant mechanism. If jamming is routinely pushing third-party aircraft into defended airspace, then the legal question is not who attacked, but who is responsible for a loss with no attacker. No framework currently answers that, and the Latvian attribution is the first case to state the mechanism explicitly on the record.
- **WATCH** Whether marine and aviation insurers begin distinguishing jamming-induced loss from hostile action in policy wordings. Finland's regulator maintains that safety margins are holding even with continuous interference, so the first movement is more likely to appear in contract language than in accident statistics.

### Counter-argument

The safety picture has not deteriorated in step with the interference. Finland's regulator reports jamming around the clock while maintaining that aviation and maritime safety margins are holding, and Norway's response has been to install detection stations rather than to intercept. That suggests the kinetic threshold has moved in the air domain without moving in the navigation domain, which is a narrower claim than an escalation narrative would imply. The Latvian attribution cuts the same way: the aircraft destroyed was not an attacking Russian drone but a displaced Ukrainian one, so the correct reading is degradation of a shared environment rather than deliberate attack on NATO territory.

[Draws on Strategic Implication SI 4.](#)

## 4. The AI rules exempt defence, but probably not your dual-use product

NEAR-TERM

The EU AI Act reached full application on 2 August 2026. A widespread assumption in defence-adjacent industry is that the Article 2 carve-out puts military work outside the Regulation. The text does not support that assumption in the form it is usually held. The exemption attaches to the purpose for which a system is placed on the market, not to the identity of the company, and a system placed on the market for both military and civilian purposes is inside the Regulation.

- Article 2(3) disappplies the Regulation only where a system is placed on the market, put into service or used [exclusively for military, defence or national security purposes, regardless of the type of entity carrying out those activities](#) (European Commission, AI Act Service Desk, Regulation text, a standing legal reference).

- The recital states the dual-use position directly: [AI systems placed on the market or put into service for an excluded purpose, namely military, defence or national security, and one or more non-excluded purposes, such as civilian purposes or law enforcement, fall within the scope of this Regulation and providers of those systems should ensure compliance with this Regulation.](#) ([European Commission, AI Act Service Desk](#), Recital 24, a standing legal reference).
- Post-application guidance has not resolved it. The Commission's own FAQ, updated five days after full application, restates only that [AI systems that are exclusively designed for military, defence or national security purposes are also exempt, regardless of the type of entity carrying out those activities.](#) and is silent on dual-use, while setting penalties up to €35m or 7% of worldwide annual turnover for prohibited practices ([European Commission](#), August 2026).
- Suppliers are already being advised accordingly. Named German counsel state that a supplier offering an AI system on the civilian market and also supplying it to the Bundeswehr needs full AI Act compliance, and that the Cyber Resilience Act exemption turns on the manufacturer having developed the product exclusively for defence purposes ([LUTZ ABEL](#), March 2026, German).
- The regimes do not switch off together. NIS2 attaches to entity type rather than product purpose, so a 60-person defence supplier with €15m turnover making electronic sensor systems is in scope of NIS2 duties regardless of how its products are classified.
- Academic reading agrees the text is narrow while warning the boundary is unstable: [AI systems used for both civilian and military, defense, or national security purposes remain within the scope of the Regulation insofar as they are deployed for civilian, humanitarian, law-enforcement, or public-security functions.](#), with no operational definition of national security to fix the edge ([European Governance Lab](#), June 2026).

### Counter-argument

There is a genuine asymmetry running in industry's favour, and it should not be smoothed away. A system placed on the market for civilian or law-enforcement purposes and later used, with or without modification, for military purposes does not fall within scope. Civilian first, then military, is out; both at once is in. Practitioners argue the boundary bites in the other direction too, so that [A system may initially fall outside the AI Act because it is developed for military purposes, but if it is then used, even briefly, for civilian purposes, the AI Act applies](#) ([Tech Policy Press](#), March 2026). No authoritative reading found in this cycle holds the exemption to be textually broad, but the absence of a settled definition of national security leaves member states room to widen it in practice.

[Draws on Strategic Implication SI 3.](#)

## 5. The defence-tech boom is funding very few winners

NEAR-TERM

Capital is not the problem in defence technology and, contrary to the reading this briefing carried in June, neither are exits. Both are at record levels. What the 2026 data shows is concentration: a small number of companies are taking most of the money, and conversion into contracted programmes of record is visible only at the very top of the market. For a government counting on a broad supplier base, and for an investor holding anything below the top decile, that is a different risk from the one usually described.

- Funding has already broken the annual record with seven months to run: [Already this year, more than \\$14.6 billion in venture investment has gone into companies in Crunchbase's military, national security and law enforcement categories](#), past the previous full-year record of \$9.6bn ([Crunchbase News](#), June 2026).
- Exits are open, not shut. [Even excluding SpaceX's \\$1.69 trillion IPO, H1 exit value reached roughly \\$72 billion, already exceeding every prior full year, with major exits including Cerebras Systems, X-energy, Armis, Fervo Energy, and HawkEye 360.](#) ([PitchBook](#), July 2026), which directly contradicts the exit-drought reading and is the strongest disconfirming evidence in this cycle.
- But the distribution is extreme, with Anduril's \$5bn Series H alone accounting for roughly a third of second-quarter deal value and the top ten rounds taking 62%.
- Conversion is real at the top and only at the top. The US Army awarded Anduril a contract with a ceiling of up to \$20bn consolidating 120 to 130 existing orders, opening with an \$87m task order, and [Massive enterprise agreements with tech providers are no longer one-off flukes; there is now a pattern of VC-backed platforms winning prime-like enterprise deals that let them compete directly with the old guard.](#) ([Fortune](#), March 2026). A ceiling is permission to spend, not spend.
- Europe's own fund is candid about the gap: [While capital continues to flow into a sector that has never been more strategically important, investment alone doesn't automatically translate into stronger European defence capabilities. What matters is how effectively DSR startups and scaleups are turning funding into real technologies, real contracts, and real operational impact.](#) ([NATO Innovation Fund with Dealroom](#), February 2026, a window exception), against a record \$8.7bn raised by European defence, security and resilience startups in 2025.
- M&A moved the other way from venture funding through 2025, with record VC alongside slowing acquisition activity ([S&P Global Market Intelligence](#), March 2026).

### Weak signals to watch

- **EMERGING** A European listing wave. An exclusive survey of leading German venture investors found they expect a wave of defence-sector flotations within 24 months, after two years of heavy investment produced almost no exits ([Handelsblatt](#), February 2026, German, a window exception). If it arrives, the ownership of Europe's emerging defence supplier base changes hands in public markets within this planning horizon, which is a governance question as much as a financing one.
- **WATCH** Whether the ratio between contract ceiling and opening task order becomes the pattern rather than the exception. Nobody currently publishes a count of venture-backed defence firms holding programmes of record against those holding prototypes and framework ceilings, and the absence of that number is doing a lot of work in current valuations.

### Counter-argument

The German investor survey above suggested the exit blockage was already breaking, and the PitchBook data indicates they were right. The defensible version of this theme is therefore concentration rather than famine, and readers should treat any single funding total with care: the four figures cited across this cycle come from four vendors with different sector definitions and are not comparable with one another.

[Draws on Strategic Implication SI 2.](#)

## 6. Japan is now openly planning for a long war

LONGER-RANGE

Japan's 2026 Defense White Paper, distributed to cabinet on 4 August, marks a shift from deterrence framing to sustainment framing: planning for a protracted conflict rather than a short, sharp one. The shift is regional rather than Japanese alone, and Australia has already acted on it, releasing fuel reserves during a Middle East disruption. What makes this a commercial theme rather than a defence one is that the constraints sustainment exposes are already present and wait on no defence budget. Pacific cable repair demand, the size of the world's cable-vessel fleet and conflict-zone insurance pricing are current conditions for anyone with shipping, manufacturing or data routes through the region. This theme is Longer-Range because the security consequences accrue over years, but those commercial constraints are live now.

- The Defence Minister put the sustainment point in the government's own words on the day of distribution, describing a security environment that is the most severe and complex since the war, and states hurrying to prepare for new ways of warfare including mass drone employment

and for long wars ([Ministry of Defense, Japan](#), August 2026, Japanese).

- The paper's own framing is stark: "The international community is facing its greatest trial since World War II and [is] entering a new era of crisis," the document warned. ([Defense News](#), August 2026), with China designated the greatest strategic challenge and an explicit warning that a situation resembling Russia's aggression against Ukraine may occur in East Asia.
- The paper was published on 4 August under a theme of security connected to the future, and records Chinese carrier activity east of Iwo Jima and two-carrier operations in the Pacific ([J-Defense](#), August 2026, Japanese).
- The commercial transmission channel is subsea. [cables in the Southwest Pacific region \(including the South China Sea\) will require 141 repairs \(representing 49 percent of global faults\) in 2040.](#), against a world fleet of 62 cable vessels of which only 19 are contracted for maintenance, with repair-vessel insurance premiums up as much as 50% for conflict-zone entry ([CSIS](#), March 2026).
- Fuel reserves are already being treated as a live instrument elsewhere in the region: Australia's National Cabinet agreed to release up to 20% of diesel and fuel reserves two weeks into a Middle East conflict, and [The Commonwealth will appoint Anthea Harris as Fuel Supply Taskforce Coordinator to support coordination across governments and sectors.](#) ([Prime Minister of Australia](#), March 2026).
- Korea is the qualifier on any region-wide claim. Its next defence white paper will be the first in four years, with the Korean-language edition due in December 2026 after publication was postponed in the aftermath of the martial law crisis ([Herald Business](#), March 2026, Korean).

### Counter-argument

Japan has not funded the doctrine it has written. The FY2026 budget request contained no new procurement of PAC-3 MSE interceptors, against a wargame scenario consuming roughly 318 of them in about one week to counter 508 incoming missiles, and [Peacetime stockpiling is therefore more important for Japan than it has been for Ukraine.](#) ([Hudson Institute](#), June 2026). Japan's own posture is therefore a stated intention rather than a funded one, and a reader could reasonably call the white paper continuity dressed as change. That qualifies Japan. It does not touch the regional shift, which Australia's fuel-reserve release evidences independently of any Japanese budget line, and it does not touch the cable and insurance constraints, which are set by fleet capacity and underwriting rather than by a ministry. Anyone dismissing the theme on the interceptor gap still has to account for those.

[Draws on Strategic Implication SI 4.](#)

## Strategic Implications

*Four decisions turn this cycle's evidence into a plan. Each names the move, a date and a posture. Three of the four are available to an organisation with no defence exposure at all.*

### SI 1: Screen the bill of materials against the 0.1% threshold before 10 November

The test is mechanical and does not require a view on Chinese policy. For each product line, identify components containing permanent magnets, phosphors, polishing compounds or specialist alloys, then ask the supplier where the rare earth content was processed. The output is a list of products that would need a Chinese export licence if the controls return, and a list that would not. An organisation that holds that list in October can act; one that does not will be told the answer by a customs authority. Where a supplier will not answer, that is itself the finding.

**Action: the chief operating officer or procurement lead to produce a product-level exposure list by 9 October 2026, a month before the expiry, with named single points of failure.** **DECIDE**

*Theme 1*

### SI 2: Reprice the assumption that defence demand is somebody else's competition

A decade of guaranteed defence orders has been placed on an industrial base that also serves civil manufacturing, and France has legislated priority for military orders over civil ones. Any plan that assumes stable lead times for castings, forgings, energetics precursors, power electronics or skilled welders and machinists through to 2030 should be re-run against a scenario in which defence orders are served first. The same applies to talent: the UK expects nearly 60,000 additional direct and indirect industry jobs by the end of the decade, drawn from the same pool.

**Action: operations and capital planning to re-run 2027 to 2030 lead-time and labour assumptions against a defence-priority scenario, reporting at the next capital committee.** **PREPARE**

*Themes 2 and 5*

### SI 3: Establish whether any product you sell is dual-use in the regulatory sense

The EU AI Act exemption follows the purpose for which a product is placed on the market, not the company selling it. If an AI-enabled product is offered to civilian customers and to a defence ministry, the current legal reading is that it needs full compliance, and the Cyber Resilience Act and NIS2 do not switch off in step. This is a question for the product and legal teams jointly, and it has a deadline attached only in the sense that the Regulation is already in force.

**Action: general counsel and the product owner to classify every AI-enabled product against Article 2(3) and Recital 24, and to record the answer, by 31 December 2026.** **DECIDE**

*Theme 4*

### SI 4: Treat navigation denial as an operating condition, not an incident

GNSS interference across northern Europe is continuous rather than episodic, and it is displacing uncrewed aircraft into airspace where they are being destroyed.

Organisations operating aircraft, vessels, offshore assets, surveying equipment or timing-dependent systems in the Baltic, Nordic and Black Sea regions should assume degraded positioning as a normal condition and test what fails without it. The insurance question follows: a loss caused by displacement rather than by attack may be characterised very differently.

**Action: risk and operations to run a positioning-loss exercise on the most exposed asset class and to confirm the insurance treatment of jamming-induced loss, by 31 March 2027.** **MONITOR**

*Themes 3 and 6*

## Scenario Matrix

*Two uncertainties govern the next eighteen months: whether China reimposes the export controls in November, and whether European industrial capacity expands fast enough to absorb the orders now placed on it. Neither is within any single organisation's control, and both are observable early.*

## INDUSTRIAL ABSORPTION: SLOW TO FAST

## The squeeze

Controls return on 10 November while European capacity is still queued behind an €80bn backlog. Licensing becomes the rationing mechanism for magnets and specialist alloys, and defence orders hold statutory priority in France and de facto priority elsewhere. Civil manufacturers discover their exposure at the point of refusal. This is the scenario in which the cost of not having screened a bill of materials is highest.

**Early indicators:** MOFCOM signalling in October; licence processing times for first applicants; magnet spot prices firming rather than falling through September.

## Rationed but building

Controls return, but the new energetics and component plants come online roughly on schedule and European fragmentation begins to narrow. Scarcity is real and priced rather than absolute. Firms with substitution options or non-Chinese processing relationships gain a durable advantage, and the licensing burden becomes a permanent compliance cost rather than a shock.

**Early indicators:** commissioning dates for the six UK energetics factories; Rheinmetall backlog-to-sales ratio narrowing; EDIP call awards converting into orders.

## Reprieve without relief

Beijing extends the suspension, as the price data currently implies, but European capacity still lags the order book. The minerals question recedes to 2027 while the competition for components, energetics precursors and skilled labour intensifies. Civil manufacturers feel the build-out through lead times rather than through licences, which is slower

**EXTENDED, SLOW ABSORPTION** e.

**Early indicators:** a MOFCOM extension announcement before 10 November; lead-time quotes lengthening for castings and power electronics; wage inflation in defence-adjacent engineering trades.

## The benign path

The suspension is extended and capacity expands broadly in line with the plans now published. The security build-out becomes an ordinary industrial programme with ordinary supply-chain frictions. Even here the AI Act boundary and the navigation environment remain live, because neither depends on either axis. This scenario is the reason the recommendations are framed **EXTENDED, FAST ABSORPTION** than as a bet on escalation.

**Early indicators:** extension confirmed; backlog growth decelerating; interception tempo over Romania and the Baltic falling through the autumn.

## What We Are Not Planning For

### ESCALATION

#### A NATO Article 5 contingency arising from the current incursion pattern

The interceptions recorded this year have involved drones displaced or strayed rather than a deliberate campaign against NATO territory, and the Latvian case was a Ukrainian aircraft pushed off course by jamming. Planning for Article 5 from this evidence would misread the pattern and would not improve any decision available today.

↺ **Reinstated if** an incursion produces casualties on NATO soil, or if two or more member states invoke Article 4 consultations within a 30-day window.

### SUPPLY

#### A complete Chinese embargo on rare earth exports to Western buyers

Full embargo would damage Chinese processors' own revenues and accelerate the diversification Beijing has an interest in slowing. The instrument in play is licensing and leverage, not cut-off. This briefing plans for rationing and delay, which is both more likely and more actionable.

↺ **Reinstated if** MOFCOM suspends licence issuance to a named allied jurisdiction, or if export volumes to the EU or United States fall by more than half in a single quarter.

#### REGULATION

### A blanket European exemption that puts all defence-adjacent AI outside the Regulation

No authoritative reading found in this cycle supports a broad exemption, and the Commission's own post-application guidance declined to widen it. Planning on the assumption that a carve-out will arrive would leave a supplier non-compliant in the meantime, which is the expensive way to be right eventually.

↺ **Reinstated if** the Commission or the AI Office issues guidance explicitly bringing mixed-purpose defence products outside scope, or if an amending regulation is tabled.

## Questions For The Next Strategy Meeting

Five questions this cycle's evidence should put on the agenda.

- 01 Could we produce, before 10 November, a product-level list of what would need a Chinese export licence? If not, is the obstacle our own data or our suppliers' willingness to answer, and which of those is harder to fix?
- 02 Our 2027 to 2030 lead-time assumptions were set before European governments committed a decade of guaranteed defence orders to the same supply base. Which of them would we still defend on the evidence, and which have simply been carried forward?
- 03 If a critical supplier came under a statutory obligation to serve military orders first, as French suppliers now do, where would we sit in that queue, and would we learn our position before or after it mattered?
- 04 Do we sell an AI-enabled product to both a civilian customer and a defence ministry? If so, has anyone tested it against Article 2(3) and Recital 24, or have we been relying on an exemption nobody has read?

05     Erbium rose 17.6% while the heavy rare earth basket fell. If that is targeted stockpiling ahead of the November deadline rather than noise, what would we want to have secured by October, and what would it cost us to act on that reading and be wrong?

## Source Confidence Register

43 sources, frozen on 25 August 2026 and published on 27 August. The window is a soft six months, with 8 carried outside it as flagged structural anchors. The mix is 14 Tier 1, 12 Tier 2, 15 Tier 3 and 2 Tier 4, so 60% is Tier 1 or Tier 2. 13 sources are non-English across 8 languages, read in the original. Every theme carries a source chosen to challenge it, argued in the counter-argument blocks rather than buried here. Four limits: 6 records carry no verbatim quote and are used as faithful summaries; the Japanese Ministry of Defense page dates itself only in the imperial era and is attested separately; the four defence-tech funding totals come from four vendors with different sector definitions and are not comparable; and one Tier 4 trade source is carried directionally for price data only.

### Theme 1: A Chinese export rule returns on 10 November and reaches far beyond defence

| Source                                                                                             | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                             |
|----------------------------------------------------------------------------------------------------|--------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Ministry of Commerce of the People's Republic of China (MOFCOM) (Chinese) [anchor]</a> | Tier 1 | Oct 2025 | The instrument catches any foreign-manufactured listed item in which Chinese-origin controlled rare earth inputs account for 0.1% or more of the item's value, requiring a MOFCOM licence regardless of where the exporter sits.                                                                           |
| <a href="#">Center for Strategic and International Studies (CSIS)</a>                              | Tier 2 | Apr 2026 | A year into the controls the United States still imported 71% of its rare earth consumption from China and received just 17 tonnes of yttrium from China between April and December 2025 against 333 tonnes in the preceding eight months, despite \$7.3bn of federal financing committed across agencies. |
| <a href="#">Mining Technology</a>                                                                  | Tier 3 | Apr 2026 | The twelve-month suspension of China's expanded controls expires on 10 November 2026 with three live outcomes on the table, extension, selective reinstatement or full reimposition, while China still processes up to 90% of global rare earths.                                                          |

| Source                                                    | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                       |
|-----------------------------------------------------------|---------------|----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Morgan Lewis</a>                              | <b>Tier 3</b> | Jul 2026 | China is now actively enforcing rather than merely announcing, through detention of foreign nationals, domestic prosecutions of Chinese exporters and a new public reporting mechanism, and the firm warns that compliance exposure extends to anyone dealing in China-origin rare earth material rather than only to named targets. |
| <a href="#">Observer Research Foundation</a>              | <b>Tier 2</b> | Jul 2026 | Japan cut China's share of its rare earth imports from around 90% to under 60% by 2020, yet remains dependent on Chinese processing and magnet manufacturing, so fifteen years of the most determined national diversification programme bought time rather than immunity.                                                           |
| <a href="#">Bruegel</a>                                   | <b>Tier 2</b> | Jul 2026 | The EU's critical raw materials strategy will not deliver self-sufficiency, and the bloc remains heavily reliant on China for extracted and processed rare earth elements, so trade agreements and targeted investment matter more than domestic capacity targets.                                                                   |
| <a href="#">Rare Earth Mining (rare-earth-mining.com)</a> | <b>Tier 4</b> | Aug 2026 | As of early August 2026 heavy rare earth prices were falling rather than pricing in the November deadline, with Chinese domestic dysprosium at \$231.35/kg, down 11.6%, and terbium at \$1,094.68/kg, down 7.19%, while NdPr alloy was broadly flat at \$133.67/kg.                                                                  |

## Theme 2: Europe's defence plans have turned into firm, dated orders

| Source                                                      | Tier   | Date     | Key claim used                                                                                                                                                                                                                                                                                                              |
|-------------------------------------------------------------|--------|----------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| UK Ministry of Defence (GOV.UK)                             | Tier 1 | Jun 2026 | The Defence Investment Plan sets out £298bn of committed defence investment to 2029/30, including £11.1bn for munitions and weapons and over £5bn for drones and autonomy, with at least six new energetics factories built by 2030 and nearly 60,000 extra direct and indirect UK industry jobs by the end of the decade.  |
| hartpunkt (German)                                          | Tier 3 | Jul 2026 | In its last sitting before the summer recess the Bundestag budget committee approved a further 16 procurement projects worth over €9.5bn, including four MEKO A-200 DEU frigates at €6.3bn with first delivery in 2029 and roughly €220m to Helsing for the Combat Fighter System of Systems Nucleus.                       |
| bundeswehr-journal (German)                                 | Tier 3 | Aug 2026 | The BMVg plans to bring roughly 100 further major armament projects to parliament in the second half of 2026, on top of 44 major projects worth just under €19bn already put through before the summer recess, with 25-million-euro submissions rising from about 100 in 2025 to roughly 150 in 2026 and up to 170 in 2027. |
| Bundesministerium der Verteidigung (BMVg) (German) [anchor] | Tier 1 | Jan 2026 | The Bundeswehr procurement acceleration act (BwBBG), passed by the Bundestag on 15 January 2026, strips out tendering steps and bureaucracy so that equipment and materiel reach units faster, and is the legal machinery under which the roughly 150 expected 25-million-euro submissions of 2026 are processed.           |
| European Commission, DG Defence Industry and Space          | Tier 1 | Mar 2026 | The EDIP 2026-2027 work programme commits €1.5bn, of which more than €700m goes to increasing production of key defence components including counter-drone systems, missiles and ammunition, with calls for proposals opening on 31 March 2026.                                                                             |

| Source                                                                   | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                                      |
|--------------------------------------------------------------------------|---------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Ministère des Armées et des Anciens combattants (French)</a> | <b>Tier 1</b> | Apr 2026 | The LPM update adds €36bn and lifts the French defence budget from €57.1bn in 2026 to €76.3bn in 2030, with earmarks of €8.5bn more for munitions, €2bn for drones and remote-operated munitions and €1.6bn for air and counter-drone defence.                                                                                      |
| <a href="#">Kiel Institute for the World Economy</a>                     | <b>Tier 2</b> | Mar 2026 | Europe fields 14 different main battle tank models against America's one, and Russia still produces roughly four times as many artillery shells a year despite far smaller budgets, because limited capacity, high unit costs and long delivery times prevent European money from converting into output.                           |
| <a href="#">McKinsey &amp; Company [anchor]</a>                          | <b>Tier 2</b> | Feb 2026 | European NATO defence spending could reach €800bn by 2030 under the 3.5% of GDP benchmark, yet order backlogs are expanding, equipment stocks remain below 2021 levels, European platform fragmentation is about four times the US level, and European defence-tech funding of \$2.6bn in 2025 is roughly a third of the US figure. |
| <a href="#">Rheinmetall AG</a>                                           | <b>Tier 4</b> | Aug 2026 | Rheinmetall's order backlog rose to €80.5bn at 30 June 2026 from €56.0bn a year earlier, with sales up 39% to €5.2bn, alongside a new plant in Lithuania and expanded pipe production in the UK and powder production at Nitrochemie Aschau.                                                                                        |

### Theme 3: NATO has started shooting down drones over Europe

| Source               | Tier          | Date      | Key claim used                                                                                                                                                                                                                                                       |
|----------------------|---------------|-----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">NATO</a> | <b>Tier 1</b> | Evergreen | As of its 17 June 2026 update NATO describes Baltic Sentry as running continuously since January 2025 and Eastern Sentry since September 2025, and records the stand-up of Forward Land Forces Finland in June 2026 as the Alliance's 9th multinational battlegroup. |

| Source                                             | Tier   | Date     | Key claim used                                                                                                                                                                                                                                             |
|----------------------------------------------------|--------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| ABC News                                           | Tier 3 | Aug 2026 | Reported on 21 August 2026, Romania had logged 23 Russian drone airspace violations so far in 2026 against 18 across the whole of 2022 to 2025, with 27 drone or fragment discoveries this year and 4 drones shot down.                                    |
| The Kyiv Independent                               | Tier 3 | Aug 2026 | Published 24 August 2026, this sets the interception economics at a \$400,000 missile against a \$35,000 drone and reports \$40 billion pledged over 5 years for layered counter-drone defence that will take years to field.                              |
| Latvijas Sabiedriskie mediji (LSM.lv) (Latvian)    | Tier 3 | Aug 2026 | On 20 August 2026 Latvia's National Armed Forces confirmed that the 1 drone shot down over Rugāji on 14 August 2026 was a Ukrainian unmanned aircraft that entered from Belarusian territory, probably displaced by Russian electromagnetic warfare.       |
| ERR (Estonian)                                     | Tier 3 | May 2026 | On 19 May 2026 a Romanian F-16 flying Baltic Air Policing shot down 1 drone over Estonia at 12:14, with wreckage falling about 30 metres from the nearest house in Põltsamaa municipality.                                                                 |
| Traficom (Liikenne- ja viestintävirasto) (Finnish) | Tier 1 | Apr 2026 | On 21 April 2026 Finland's regulator reported GNSS interference occurring around the clock across southern and central Finland at cruise altitudes of about 10 km, with mobile-network interference near the eastern border now also appearing in daytime. |
| European Commission, DG CONNECT [anchor]           | Tier 1 | Feb 2026 | On 5 February 2026 the Commission published the Cable Security Toolbox together with Cable Projects of European Interest, backed by €347 million of CEF Digital funding.                                                                                   |

| Source                               | Tier          | Date     | Key claim used                                                                                                                                                                                                                                  |
|--------------------------------------|---------------|----------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">The Barents Observer</a> | <b>Tier 3</b> | May 2026 | Reported on 22 May 2026, Norway is adding 2 GNSS monitoring stations during 2026 to take the total to 5, after jamming over the Varanger Peninsula was recorded at altitudes as low as 500 metres across a region with 11 airports in Finnmark. |

#### Theme 4: The AI rules exempt defence, but probably not your dual-use product

| Source                                                               | Tier          | Date      | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         |
|----------------------------------------------------------------------|---------------|-----------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">European Commission, AI Act Service Desk [anchor]</a>    | <b>Tier 1</b> | Evergreen | Article 2(3) disapplies the Regulation only where an AI system is placed on the market, put into service or used, with or without modification, exclusively for military, defence or national security purposes, regardless of the type of entity carrying out those activities, so the carve-out attaches to purpose and to placing on the market rather than to the company.                                                                                                                                                                         |
| <a href="#">European Commission, AI Act Service Desk [anchor]</a>    | <b>Tier 1</b> | Evergreen | Recital 24 states in terms that an AI system placed on the market or put into service for an excluded purpose and one or more non-excluded purposes falls within the scope of the Regulation and that the provider must ensure compliance, which is the direct legislative basis for saying a dual-use product is caught.                                                                                                                                                                                                                              |
| <a href="#">European Commission, Shaping Europe's digital future</a> | <b>Tier 1</b> | Aug 2026  | The Commission's own FAQ, last updated on 7 August 2026, five days after full application, restates the exemption only for AI systems exclusively designed for military, defence or national security purposes and is silent on dual-use, while setting penalties of up to EUR 35m or 7% of worldwide annual turnover for prohibited practices, EUR 15m or 3% for other breaches and EUR 7.5m or 1% for supplying incorrect information, enforced by national competent authorities for AI systems and by the AI Office for general-purpose AI models. |

| Source                                             | Tier   | Date        | Key claim used                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|----------------------------------------------------|--------|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| LUTZ   ABEL<br>Rechtsanwalts PartG<br>mbB (German) | Tier 3 | Mar<br>2026 | Named German counsel advise that a supplier offering an AI system on the civilian market and also to the Bundeswehr needs full AI Act compliance, that the Cyber Resilience Act exemption in Article 2(7) turns on the manufacturer having developed or modified the product exclusively for defence purposes, and that NIS2 attaches to entity type rather than product purpose, so a defence firm with 60 staff and EUR 15m turnover making electronic sensor systems is in scope of NIS2 duties. |
| European Governance<br>Lab                         | Tier 2 | Jun<br>2026 | Article 2(3) is formally narrow because the exclusion bites only where use is exclusive, and mixed civilian and military systems stay inside the Regulation insofar as they are deployed for civilian, humanitarian, law enforcement or public security functions, but the absence of any operational definition of national security leaves the boundary with public security legally fluid and open to widening by member states.                                                                 |
| Tech Policy Press                                  | Tier 2 | Mar<br>2026 | Practitioners quoted in the piece argue the boundary runs in both directions, so a system that falls outside the AI Act because it was developed for military purposes is caught the moment it is used, even briefly, for civilian purposes, while military-origin capability can otherwise reach civilian life without ever having met the transparency and fundamental rights standards EU law is meant to guarantee.                                                                             |

#### Theme 5: The defence-tech boom is funding very few winners

| Source          | Tier   | Date        | Key claim used                                                                                                                                                                                                                             |
|-----------------|--------|-------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Crunchbase News | Tier 3 | Jun<br>2026 | More than \$14.6bn of venture investment went into Crunchbase's military, national security and law enforcement categories in the first five months of 2026, already past the previous full-year record of \$9.6bn set across all of 2025. |

| Source                                                        | Tier          | Date     | Key claim used                                                                                                                                                                                                                   |
|---------------------------------------------------------------|---------------|----------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">PitchBook</a>                                     | <b>Tier 3</b> | Jul 2026 | Defence-tech VC reached \$35.4bn across 415 deals in H1 2026, and H1 exit value hit roughly \$72bn even excluding SpaceX's IPO, already exceeding every prior full year.                                                         |
| <a href="#">S&amp;P Global Market Intelligence</a>            | <b>Tier 2</b> | Mar 2026 | Venture capital funding for defence technology hit record highs in 2025 while M&A activity in the sector slowed, per S&P Global Market Intelligence analysis published 11 March 2026.                                            |
| <a href="#">NATO Innovation Fund (with Dealroom) [anchor]</a> | <b>Tier 1</b> | Feb 2026 | European defence, security and resilience startups secured a record \$8.7bn of venture capital in 2025, up 55% year on year, with late-stage investment tripling to \$4.7bn.                                                     |
| <a href="#">Fortune</a>                                       | <b>Tier 2</b> | Mar 2026 | The US Army awarded Anduril a five to ten year enterprise contract with a ceiling of up to \$20bn in March 2026, consolidating 120 to 130 existing orders and opening with an \$87m task order.                                  |
| <a href="#">Handelsblatt (German) [anchor]</a>                | <b>Tier 2</b> | Feb 2026 | An exclusive Handelsblatt survey of leading German venture investors, published 13 February 2026, found they expect a wave of defence-sector IPOs within 24 months after two years of heavy investment produced almost no exits. |

#### Theme 6: Japan is now openly planning for a long war

| Source                                                          | Tier          | Date     | Key claim used                                                                                                                                                                                                                                                                                                            |
|-----------------------------------------------------------------|---------------|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Ministry of Defense, Japan (防衛省・自衛隊) (Japanese)</a> | <b>Tier 1</b> | Aug 2026 | Announcing cabinet distribution of the Reiwa 8 (2026) Defense White Paper on 4 August 2026, the Defence Minister states that countries are hurrying to prepare for new ways of warfare including mass drone employment and for long wars (長期戦への備え), and that the international community is entering a new era of crisis. |

| Source                                                                | Tier          | Date     | Key claim used                                                                                                                                                                                                                                 |
|-----------------------------------------------------------------------|---------------|----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="#">Hudson Institute</a>                                      | <b>Tier 2</b> | Jun 2026 | A wargame scenario consumed roughly 318 PAC-3 MSE interceptors in about one week against 508 incoming Chinese missiles, while Japan's FY2026 budget request contained zero new procurement of PAC-3 MSE.                                       |
| <a href="#">Defense News</a>                                          | <b>Tier 3</b> | Aug 2026 | The white paper designates China as presenting the greatest strategic challenge and warns that a serious situation similar to Russia's aggression against Ukraine may occur in the Indo-Pacific, particularly in East Asia.                    |
| <a href="#">J-Defense / イカロス出版 (Ikaros Publications) (Japanese)</a>   | <b>Tier 3</b> | Aug 2026 | Reports that the Reiwa 8 white paper was published on 4 August 2026 under the theme 未来につながる安全保障, and that it records Chinese carrier activity east of Iwo Jima and two-carrier operations in the Pacific in June 2025.                         |
| <a href="#">Center for Strategic and International Studies (CSIS)</a> | <b>Tier 2</b> | Mar 2026 | Cables in the Southwest Pacific region including the South China Sea are forecast to require 141 repairs in 2040, some 49% of global faults, against a world fleet of 62 cable vessels of which only 19 are contracted for subsea maintenance. |
| <a href="#">헤럴드경제 (Herald Business) (Korean)</a>                      | <b>Tier 3</b> | Mar 2026 | The 2026 국방백서 will be South Korea's first defence white paper in four years, with the Korean-language edition due in December 2026 after publication was postponed in the aftermath of the martial law crisis.                                 |
| <a href="#">Prime Minister of Australia (pm.gov.au)</a>               | <b>Tier 1</b> | Mar 2026 | National Cabinet agreed to release up to 20% of diesel and fuel reserves and to appoint a Fuel Supply Taskforce Coordinator, two weeks into a Middle East conflict affecting supply.                                                           |

# Claim-Fidelity Appendix

## Where this briefing extrapolates beyond its sources

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Three claims go further than any single source states. First, that firms outside defence are broadly unaware of their exposure to the 0.1% rule: no survey of bill-of-materials screening exists, so this is inference from the enforcement literature and from the absence of any published count, and it is flagged rather than asserted. Second, that defence demand will materially lengthen civil lead times: France has legislated priority and backlogs are growing faster than sales, but no source quantifies the civil effect. Third, that stated doctrine precedes budget in the Japanese case: this is an analyst's reading of how defence planning documents usually behave, offered against evidence that FY2026 contained no new interceptor procurement.

## Where sources disagree

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The four defence-tech funding totals cited come from four vendors with different sector definitions and are not comparable. Crunchbase reports \$14.6bn over five months on a narrow, US-weighted definition; PitchBook reports \$35.4bn for H1 on a broad definition that sweeps in space and dual-use; Dealroom reports \$8.7bn for Europe in 2025. They are presented separately and never netted. Several outlets republishing the Crunchbase series were excluded as non-independent.

## Where a correction was made before publication

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An initial reading of a parliamentary summary attributed £7.3bn to the UK Digital Targeting Web. The Defence Investment Plan itself gives £1.8bn in Table 4, with a total of £297.7bn in Table 1. The primary document governs and the figure was removed.

## Stated limits

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Arctic Sentry could not be corroborated from a primary NATO source in this cycle and is not relied on. Shipping and marine-insurance exposure to GNSS denial is thinly evidenced here, with the strongest available source falling outside the window. No 2026 Korean defence white paper exists, so Korea qualifies rather than supports any region-wide claim. One source, the Japanese Ministry of Defense, dates itself only in the imperial era and is attested separately in the cycle's audit overrides. Non-English sources are quoted in English translation in the body and named with their language in the citation; the original-language spans are held in the evidence base rather than set inline, where they broke the reading line.